SALARYBIT

Old vs New Tax Regime

The Complete CA-Style Breakdown & Deduction Checklist

FY 2026-27 (Assessment Year 2027-28)

This guide walks through exactly how both tax regimes are calculated, which deductions apply where, and how to decide between them — with a worked example and a printable deduction checklist you can fill in with your own numbers.

For informational purposes only. This is not personalised tax advice — consult a Chartered Accountant or SEBI-registered advisor before filing.

1. How Each Regime Actually Works

India currently runs two parallel income tax systems. The **New Regime** is the default from FY 2023-24 onward — lower slab rates, but almost no deductions. The **Old Regime** has higher slab rates, but lets you reduce your taxable income first through a long list of deductions. Which one wins depends entirely on how many of those deductions you can actually claim.

New Regime — Slab Rates (FY 2026-27)

Taxable Income	Tax Rate
Up to ■4,00,000	Nil
■4,00,001 – ■8,00,000	5%
■8,00,001 – ■12,00,000	10%
■12,00,001 – ■16,00,000	15%
■16,00,001 – ■20,00,000	20%
■20,00,001 – ■24,00,000	25%
Above ■24,00,000	30%

Rebate under Section 87A: **zero tax** if taxable income is up to ■12,00,000 (effectively up to ■12,75,000 for salaried employees, after the ■75,000 standard deduction).

Old Regime — Slab Rates (unchanged)

Taxable Income	Tax Rate
Up to ■2,50,000	Nil
■2,50,001 – ■5,00,000	5%
■5,00,001 – ■10,00,000	20%
Above ■10,00,000	30%

Rebate under Section 87A: zero tax if taxable income is up to ■5,00,000.

2. Deduction Checklist — Old Regime Only

Tick off every one that applies to you, and note the amount. If the total is small relative to your income, the New Regime usually wins anyway — that's the whole comparison in one number.

Section 80C (combined cap ■1,50,000/year)

- ✓ EPF (employee contribution)
- ✓ PPF contributions
- ✓ ELSS mutual funds
- ✓ Life insurance premiums
- ✓ Home loan principal repayment
- ✓ Children's tuition fees (up to 2 children)
- ✓ 5-year tax-saving FD
- ✓ Sukanya Samriddhi Yojana

Other deductions

Section	What it covers	Limit
80CCD(1B)	NPS — additional, over and above 80C	■50,000
80D	Health insurance premium (self, family)	■25,000–■75,000*
80D	Health insurance premium (senior citizen parents)	■50,000
80E	Interest on education loan	No cap (8 yrs)
80TTA / 80TTB	Savings account / senior citizen interest	■10,000 / ■50,000
24(b)	Home loan interest (self-occupied)	■2,00,000
HRA	House Rent Allowance exemption	As per formula
Std. Deduction	Automatic, salaried employees	■50,000

*■25,000 general / ■50,000 if you or your spouse is a senior citizen.

Rule of thumb: if your total eligible deductions (80C + 80D + home loan interest + HRA, etc.) exceed roughly **■4.5–5 lakh** a year, the Old Regime is usually worth the extra paperwork. Below that, the New Regime tends to win.

3. Worked Example

Profile: ■18,00,000 CTC, living in a rented flat, paying ■24,000/month rent, with an active home loan (■1,80,000 interest/year) and standard 80C investments of ■1,50,000.

	Old Regime	New Regime
Gross Salary	■18,00,000	■18,00,000
Standard Deduction	– ■50,000	– ■75,000
HRA Exemption (approx.)	– ■2,16,000	– Not applicable
Section 80C	– ■1,50,000	– Not applicable
Home Loan Interest (24b)	– ■1,80,000	– Not applicable
Taxable Income	**■11,04,000**	**■17,25,000**
Approx. Tax Payable	**■1,08,680**	**■1,42,500**

Verdict for this profile: Old Regime saves about ■33,820/year. The home loan interest and HRA combined are large enough to tip the balance. Change either of those (say, no home loan) and the answer can flip completely — that's why this needs your own numbers, not a generic rule.

4. Common Mistakes People Make

1 • Forgetting HRA exemption has three separate limbs (actual rent – 10% salary, 50%/40% of basic, actual HRA received) — the lowest of the three applies.

2 • Comparing gross CTC instead of taxable income after deductions.

3 • Not accounting for employer NPS contribution (up to 14% of Basic under the new Wage Code) which is deductible under Section 80CCD(2) in *both* regimes.

4 • Assuming the regime choice is permanent — salaried employees can switch every year when filing (only business income has restrictions).

5 • Ignoring that surcharge and cess apply on top of the slab tax for higher incomes.